

BUILDING AGAIN

Their second companies reveal how India's start-up opportunity has changed over the past decade

FOUNDER	DEEPINDER GOYAL	MUKESH BANSAL	AMAN GUPTA	DHARMIL SHETH, DHAVAL SHAH, SIDDHARTH SHAH, AND HARDIK DEDHIA
First acts				
Second acts				
Key differences	Restaurant discovery/food delivery to deep R&D, hardware, regulated infrastructure	B2C retail to B2B enterprise SaaS	D2C consumer electronics to digital creation, house of brands	Consumer health tech platform to home fittings, house of brands
				

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respond to requests for comment.

PharmEasy co-founders Dharmil Sheth, Dhaval Shah, Siddharth Shah and Hardik Dedhia are building AllHome. In June, AllHome raised ₹200 crore from Bessemer Venture Partners in a Series B round at a reported valuation of ₹2,000 crore.

Different sectors. Different technologies. Entirely different business models.

Taken together, these second acts point to a broader shift. Some of the founders who built India's first generation of consumer internet companies are starting again, with businesses that bear little resemblance to the ones that made them successful.

CHANGING TIMES

"If I were starting up today, I probably wouldn't build PharmEasy," says Sheth. "We spotted a gap in 2015 and built a health-tech platform connecting consumers, retailers, distributors, and manufacturers. Between a few competitors and us, the access-and-availability problem is now largely solved," says Sheth. "If I were starting today, I'd build a highly differentiated product that stays at the top of the supply chain."

The playbook that defined India's consumer internet boom no longer offers the same rewards. The markets that produced the country's first generation of unicorns are larger than ever, but also

far more competitive and dominated by companies with scale. Many of the biggest categories have consolidated, leaving far less room for challengers than they did a decade ago. Competing today is less about spotting an unmet need and more about achieving scale.

Take food delivery. In 2015, more than a dozen companies—including Zomato, Swiggy, Foodpanda, TinyOwl, Roadrunnr and Ola Cafe—were battling for market share. Today, the category has largely consolidated into a duopoly. Similar patterns are visible across much of the consumer internet.

Abhiram Bhalerao, partner at venture capital firm V3 Ventures, has watched this shift play out